

FISV pitch deck

The court materials are complete and self-contained, so this is a writing task — no new evidence gathering needed. Both benches landed on REJECT-for-now / WATCH, so the entry-bands section states reopen conditions rather than buy levels. Here is the deck.

PITCH — FISV — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): Do not buy now. Log as WATCH. Reopen at the Q3 report (2026-10-28, date unconfirmed) or the moment any SEC filing puts a dollar figure on the 2025 one-time revenue base — both benches rejected entry, red at 7/10 conviction, blue sustaining the rejection.

What we believe

Fiserv is a payments and bank-technology company whose stock has fallen 61% from its 52-week high of \$140.42 to \$54.39, and now trades at roughly 7.5x the midpoint of management's own 2026 adjusted-EPS guidance of \$7.20–\$7.40. The original pitch believed three things: (1) the collapse in the Financial Solutions segment (down 8% in Q2) is mostly an optical artifact — last year's base contained one-time revenue, and an Argentina currency drag that is now rolling off; (2) the underlying volume business is healthy (Clover point-of-sale revenue \$570M, up 13% excluding Argentina and one-timers; payment volume \$75B); and (3) the stock is cheap both absolutely and against peer Global Payments.

After the adversarial review, what we *actually* believe is narrower: the absolute cheapness is real, the Argentina drag is genuinely unwinding (visible on the balance sheet, not just in management's telling), but the central claim — that the “one-time revenue” explanation can be verified from filings before the market sees Q3 — is false. The explanation exists only in management's spoken remarks. We cannot check it, so we cannot own it yet.

What the market believes

The market believes management has lost credibility. Guidance has been cut three times; Q2 adjusted EPS fell 26% year-over-year to \$1.84; organic revenue growth guidance is now roughly flat to down 1% (all confirmed in the company's own earnings release:

<https://www.sec.gov/Archives/edgar/data/798354/000079835426000028/fisvq226earningsrelease.htm>).

At 7.5x guided earnings, the price says the market treats the guidance itself as suspect and the Financial Solutions decline as possibly structural — bank clients leaving, not accounting noise. The market is also unwilling to pay for a bridge (“here's what growth looks like excluding Argentina and one-timers”) that the company will only present in slides and on calls, never in an SEC filing.

Why we might have edge

- **The Argentina drag is verifiably ending, from primary documents.** The blue bench found this in the 10-Q, and it is the strongest surviving pro-thesis fact: the anticipation-funding balance tied to Argentina shrank from \$1,223M to \$1,007M, and Argentina currency-remeasurement losses collapsed from \$64M to \$9M in the first half. That is a headwind mechanically disappearing, not a management story.
- **The relative-valuation panic may be overdone at the level of the whole company.** The volume metrics (Clover, payment volume) are growing, the company retired \$1.41B of debt for \$1.23B (a \$154M gain), and it bought back \$300M of stock in the first half. None of that is what a business in structural collapse does.
- **A cheap, falsifiable test is coming.** Management claims Financial Solutions organic growth exits Q4 at a positive rate. Q3 either shows the sequential path toward that or it doesn't. If it does, the stock is a single-digit multiple on stabilizing earnings.

Why it might be priced in

- **The comp-based “cheapness” claim was wrong on our side.** The pitch said Fiserv trades at “half Global Payments’ multiple.” The blue bench verified Global Payments’ own guidance (\$13.60–\$13.80 adjusted EPS, per its press release: <https://investors.globalpayments.com/news-events/press-releases/detail/514/global-payments-reports-second-quarter-2026-results>): GPN trades near 6.4–6.7x versus Fiserv’s 7.45x. Fiserv is at *parity or a premium* to its closest peer, not a discount. The relative-value leg of the thesis is dead.
- **The core bullish explanation is unverifiable by design.** The red bench searched SEC full-text: the phrase “nonrecurring revenue” has appeared in **zero** Fiserv filings, ever (<https://efits.sec.gov/LATEST/search-index?q=%22nonrecurring%20revenue%22&ciks=0000798354>), and “periodic revenue” last appeared in 2018. The Q2 release quantifies nothing; the 10-Q footnotes don’t isolate it; management declined to give the dollar amount on the call. Two company venues chose not to decompose it. If the explanation were as clean as claimed, publishing it would be easy. The choice not to is itself information.
- **Cash conversion was deteriorating before the guidance cuts.** First-half operating cash flow fell 10% (\$2,313M → \$2,082M), and the Q1 operating-cash-flow series has fallen three straight years (1,130 → 831 → 648, in \$M) while adjusted EPS rose. The “adjusted” earnings were losing cash backing before the story broke.
- **Leverage narrows the gap further.** Total debt is \$27.9B against roughly \$30B of equity. On an enterprise-value basis, Fiserv is even less obviously cheap than the P/E suggests.

What we checked ourselves

Claim	How checked	Found	Confirmed?
One-time revenue in the 2025 base is quantified somewhere in filings	SEC full-text search across all Fiserv filings (red bench)	“Nonrecurring revenue”: 0 hits ever; “periodic revenue” last used 2018; nothing in the Q2 release or 10-Q footnotes	REFUTED — the thesis’s central verifiability premise fails
Q2 headline numbers (FS –8%, organic –5%, adj EPS \$1.84 –26%, guide \$7.20–7.40)	Company earnings release fetched directly from sec.gov	All confirmed verbatim	YES
Clover \$570M / GPV \$75B / leverage ~3x appear in the SEC-filed release	Direct read of the filed release	Absent from the release; exist only in the call transcript and deck	YES — venue divergence confirmed, though our red bench overstated it (see below)
Argentina drag quantified	Call transcript (secondary source) + 10-Q balance sheet	Transcript: ~90bp revenue / 60bp margin headwind in Q2. 10-Q: anticipation balance \$1,223M→\$1,007M, FX losses \$64M→\$9M H1	YES — red bench erred claiming it was quantified nowhere; blue corrected it
“Half of Global Payments’ multiple”	GPN’s own press release + arithmetic	GPN ~6.4–6.7x vs FISV 7.45x — parity/premium, not discount	REFUTED — the original pitch conflated price-to-earnings bases
“Fiserv’s bonds at ~86 cents signal credit stress”	Tender math from the release + 10-Q debt note	87.2c average on low-coupon paper is ordinary interest-rate math (~5.3% yield), not distress. Red bench also erred on composition: the tender was 2027 and 2049 notes, not a 2027–2036 range	REFUTED as a bear point; red’s detail corrected by blue
Cash flow backing of adjusted earnings	Audited XBRL series from filings	H1 OCF –10%; Q1 OCF down three consecutive years while adj EPS rose	YES — bear-side, stands
Banking core accounts –3%	Searched for any filed source	Transcript-only; no vetted source	UNVERIFIED
10-Q Management Discussion & Analysis section	Attempted three ways by both benches (direct fetch blocked; proxy fetches truncated)	Never read by either bench	NO — open coverage gap
Live price from our broker	IBKR pull attempted by both benches	Permission denied both times; ran on the pack’s \$54.39	NO — coverage gap. The original pitch also used a stale \$55.50

PROPOSED ENTRY BANDS

The courts say no entry now. No bench produced buy-level math because both rejected the trade; per doctrine these are the reopen conditions, drawn from the benches’ own stated flip triggers:

- **Reopen trigger 1 (event):** Q3 report (2026-10-28, unconfirmed) shows Financial Solutions organic growth on a sequential path toward the claimed positive Q4 exit rate — the red bench’s

explicit flip condition was “Q3 FS exit-rate $\geq$ 0% printed.”

- **Reopen trigger 2 (filing):** Any SEC filing — most plausibly the next 10-K’s Management Discussion & Analysis, which neither bench could read this round — that puts dollar amounts on the 2025 one-time revenue base. Red committed in writing: this alone downgrades its fatal finding to a sizing issue and flips it to accept-with-cuts.
- **Reopen trigger 3 (price):** A close below **\$47.04** (the 52-week low). This is not a bench-set level — the courts set no price gates, which is itself a gap — but a break to new lows before Q3 would reopen the file as a possible dislocation review at a materially better price than the \$54.39 the case was rejected at.
- **Sizing if reopened and affirmed:** the red bench’s “accept-with-cuts” framing implies a reduced starter position, not full size, because the venue-divergence and cash-conversion findings survive as sizing penalties even if the base question resolves favorably. Exact size to be set at re-adjudication.
- **No adds, exits, or trims:** we hold no position and no resting orders.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 47.04 (deck-provisional: 52-week-low breach reopens the file as a dislocation re-triage at a better price than the \$54.39 rejec)
- filing watch: 8-K,10-Q,10-K until 2027-02-11 (deck-provisional: Q3 results (FS organic exit-rate $\geq$ 0% is red’s flip trigger) or any filing quantifying the FY25 one-ti)
- dated pack FISV|2026-10-28: FISV: Q3 2026 earnings — FS organic sequential path vs claimed positive Q4 exit rate (date confirmed=False)

What remains unverified

- **The FY25 10-K MD&A** — unread by both benches. It could contain the one-time-revenue dollar figures and single-handedly flip the rejection. Highest-value open item.
- **The dollar size of the 2025 one-time revenue base** — unquantified in every venue checked; this is the black box the whole thesis turns on. Blue’s sharpest point: with Argentina worth only ~90bp of the revenue decline, nearly all of the segment’s -8% sits in this unquantified bucket.
- **Banking core account decline (-3%)** — transcript-only, no filed source.
- **The Q3 date (2026-10-28)** — derived from a data vendor, not confirmed by any company announcement.
- **The comp set** — only Global Payments was checked, and its price (\$88.25) came from a secondary source; neither bench checked FIS, the more natural comparable for the failing bank-technology segment.
- **Live executable price** — both benches were denied broker access and worked from the evidence pack’s snapshot.

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